funds. For example, the average enrollment rate for electronic delivery may be lower for direct-held accounts, which would result in higher per unit costs than the commenter provided.[790] As another example, to the extent a fund would share a single, consolidated rule 30e-3 notice with other funds to notify a shareholder of the website address(es) for each fund's report, and the fund has many shareholders who are invested in those other funds, the fund may not experience the same extent of cost savings under the proposal.[791] Nevertheless, we believe that the estimate of approximately 8 percent is a reasonable estimate of the likely decline in the per-unit cost of delivering the concise report rather than rule 30e-3 notices.[792] Specifically, for funds that rely on rule 30e-3, we estimate that the proposed rule would reduce their current shareholder report delivery costs by approximately 8 percent, on average, and that the average annual cost savings would be approximately $1,243 per fund that relies on rule 30e-3.[793]

The total shareholder report delivery cost savings from the proposal would be a weighted combination of the savings in delivery costs for funds that rely on rule 30e-3 and the savings for funds that do not rely on rule 30e-3. For example, if 86 percent of funds deliver

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790 *See supra* footnote 734 and accompanying text.

791 *See* Rule 30e-3 Adopting Release, *supra* footnote 14, at paragraph accompanying n.211 (discussing consolidated rule 30e-3 notices).

792 $0.03 average reduction in delivery costs for summary shareholder reports / $0.36 average cost of delivering rule 30e-3 notices = 8.33 percent.

793 Based on one commenter's estimate, delivering the concise report instead of the rule 30e-3 notice would reduce the per-unit delivery cost from $0.36 to $0.33, or $0.03 per unit. *See* Broadridge Comment Letter II. This is $0.03 / $0.17 or approximately 17.65 percent of estimated per-unit reduction in the shareholder report delivery costs for funds that do not rely on rule 30e-3. We thus estimate that the savings from delivering the concise report instead of the notice is 17.65 percent of the estimated $7,040.49 cost savings from delivering the concise report instead of the full report, or 17.65 percent x $7,040.49 = $1,242.65.

rule 30e-3 notices before the proposal is in effect, the delivery cost savings from the proposal would be an estimated $13.26 million from those funds.[794] In addition, if 14 percent of funds do not rely on rule 30e-3 before any final rules are in effect, the delivery cost savings would be $12.23 million from those funds.[795] Thus, the aggregate delivery costs savings for shareholder reports from the rule would be $25.49 million.[796]

We understand that the estimated cost savings for shareholder reports would depend on factors in addition to those discussed above. These include the fraction of funds that would deliver notices under rule 30e-3 before any final rules are in effect and the extent to which those funds actually experience a delivery cost savings under the proposal. For example, if the cost of delivering a concise shareholder report were about the same as the cost of delivering a notice under rule 30e-3, then our estimated cost savings would decline from $25.49 million to $12.23 million. As another example, if fewer than 86 percent of funds began to deliver notices under rule 30e-3 before any final rules are in effect, then our estimated aggregate cost savings would be greater than $25.49 million. This is because a larger number of funds would experience higher delivery cost savings in that instance.

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[794] 12,410 funds x 86 percent x $1,242.64 estimated savings in delivery costs per fund that delivers a rule 30e-3 notice = $13.26 million.

[795] 12,410 funds x 14 percent x $7,040.49 estimated savings per fund that delivers the full report (and does not rely on rule 30e-3) = $12.23 million.

[796] The weighted average savings in delivery cost per fund is (86 percent x $1,242.64) + (14 percent x $7,040.49) = $1,068.67 + $985.67 = $2,054.34. Multiplying this across all 12,410 funds yields an estimated delivery cost savings from the proposal of 12,410 funds x $2,054.34 per fund = $25.49 million. That is, the aggregate cost savings is $13.26 million + $12.23 million = $25.49 million.

Delivery Cost Savings for Prospectuses

Funds that rely on rule 498B would experience cost savings from delivering prompt notices of certain material changes to existing shareholders instead of the annual prospectus updates and interim prospectus stickers that they delivery currently. The proposal would allow funds to consolidate some of their current disclosures so that they would generally deliver fewer disclosure materials to shareholders.

We estimate that, on average, funds make 1.5 material changes per year that they currently disclose in annual prospectus updates and interim prospectus stickers and that the proposal would require them to disclose in their annual reports or through prompt notices under rule 498B.[797] Of these material changes, we estimate that an average of 1 material change is made in the annual prospectus update. Under the proposal, a fund would disclose this material change in its annual report and generally would not need to send a separate notice under proposed rule 498B. We estimate that the remaining average of 0.5 material changes per year would be disclosed separately in rule 498B notices.

As a result, we estimate that proposed rule 498B would reduce fund delivery costs by reducing the number of separate prospectus-related deliveries to existing shareholders from an average of 1.5 deliveries to an average of 0.5 deliveries per year. The total cost savings would depend on factors that include: (1) whether a fund currently delivers annual prospectus updates to all shareholders or tracks which shareholders purchase additional shares during the year; (2) how many shareholders have elected electronic delivery and how many shareholders receive prospectus materials in paper; (3) how many material changes a fund makes each year;

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[797] *See supra* footnote 725.

and (4) whether a fund delivers prospectus stickers separately or consolidates this delivery with delivery of other materials, such as semi-annual reports. We are unable to estimate the aggregate cost savings across all funds. However, we are able to estimate that the current costs of printing and mailing summary prospectus annual updates is approximately $0.55 per summary prospectus and that the proposal would eliminate at least part of this cost.[798] That is, under proposed rule 498B, funds would no longer incur the costs of delivering annual prospectus updates by mail. Additionally, funds would no longer incur processing fees for delivering annual prospectus updates electronically such as by email currently.[799]

We understand funds that currently deliver statutory prospectuses to existing shareholders would likely experience greater delivery cost savings if they were to rely on proposed rule 498B because of higher printing and mailing costs for statutory prospectuses than for shorter summary prospectuses. However, we assume that only funds that deliver summary prospectuses would rely on proposed rule 498B. We believe that funds that deliver summary prospectuses are more familiar with using layered disclosure concepts to satisfy prospectus delivery obligations and would incur fewer transition costs to comply with proposed rule 498B, as discussed in Section III.C.2.e.

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[798] *See* Variable Contract Summary Prospectus Adopting Release, *supra* footnote 27, at n.1077 and accompanying text (estimating that 9-page updating summary prospectus for variable insurance contracts would cost $0.55 to print and mail); *see also supra* paragraph accompanying footnote 721 (estimating that funds' summary prospectuses are, on average, 8 pages long).

[799] For example, a fund may pay a type of processing fee (referred to as a preference management fee and, formerly, as an incentive fee) of up to 10 cents per distribution per account where a shareholder holds shares in a fund through an account with an intermediary and the shareholder has elected to receive fund disclosures electronically. *See* NYSE rule 451.90(4); Supplementary Material .01(a)(5) to FINRA rule 2251. *See also* Comment Letter of Investment Company Institute (Oct. 31, 2018) on File No. S7-13-18, at 14, *available at* https://www.sec.gov/comments/s7-13-18/s71318-4594882-176335.pdf.

Benefits of Proposed Form N-CSR Requirements

Beyond delivery-related cost savings from the proposal, there are benefits associated with the proposed requirement that funds continue to file on Form N-CSR certain information, such as financial statements and financial highlights, that would no longer appear in shareholder reports, relative to the alternative of not continuing to require such filings. The continued availability of this information, including on a historical basis on EDGAR, would allow financial professionals and other market participants to continue to analyze this information over time. This historical information also may facilitate the Commission's performance of fund monitoring responsibilities that benefit investors. Finally, a fund's principal executive and financial officer(s) would continue to be required to certify the financial and other information included on Form N-CSR and would be subject to liability for material misstatements or omissions on Form N-CSR, so there would be no change in this contribution to the maintained accuracy and completeness of this information for investors, market professionals, and others who use this information.

e. Other Costs

Some of the proposed changes in delivery would cause fund shareholders to face greater fund expenses than without the proposal. The likelihood and extent of these increases would depend on the fund's baseline delivery scenario, as follows. For funds that rely on rule 30e-3, the costs of printing and mailing shareholder reports would be higher under the proposal.[800] We generally believe these additional printing and mailing costs would be small.

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[800] As discussed below, funds that rely on rule 30e-3 or plan to rely on rule 30e-3 would also incur transition costs under the proposal.